

ZEPTO

Increasing Average Order Value (AOV)

A Product Management Case Study

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Executive Summary

Zepto is India's fastest-growing quick-commerce platform — but its Average Order Value (AOV) trails Blinkit by ₹80–₹150. While orders grow rapidly, basket sizes remain capped because users place small, urgency-driven orders, stop adding items at the free-delivery threshold, and reorder familiar items without exploring new categories.

This report consolidates the work of a three-member product team across four phases: user segmentation, blocker analysis, solution design, and RICE-based prioritization. We supplemented secondary market research with a primary survey of active Zepto users that strongly validated our hypotheses — 83% of respondents have structurally capped baskets, and 0% use Zepto for weekly grocery shopping.

Our central insight: Zepto's product experience is optimized for the speed of a single transaction rather than the depth of a shopping occasion. We propose seven solutions, prioritized into four tiers, with the Smart Cart Nudge (S01) and Milestone Reward Ladder (S02) as immediate Q1 priorities — both directly attack the ceiling behaviour confirmed in our survey, where 50% of respondents selected rewards for higher cart values as the change most likely to make them order more.

Introduction — India's Q-commerce Landscape

India's Quick-commerce sector is one of the fastest-growing consumer internet categories in the world — built on urban density, low delivery costs, and a smartphone-first population. Understanding the market size, competitive positioning, and Zepto's own operating scale is the foundation for everything that follows in this report.

Market size — 2025 \$5.4B ~₹45,000 Cr	Projected — 2029 \$9.95B ~40% CAGR	Q-com of e-grocery 66% up from 35% in 2022	Zepto FY25 Revenue ₹11,110 Cr +150% YoY
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Market Share by GMV — 2025

Blinkit 46%	Zepto 29%	Instamart 25%
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Platform Comparison — AOV & Delivery

Platform	AOV	Free Delivery Min.	Avg Delivery	Position
Blinkit	₹625–₹709	~₹199	10–15 min	Market Leader
Zepto	₹540–₹560	₹99 (Nov 2025)	10 min	Subject of this report
Instamart	₹619	~₹199	13–20 min	Challenger
BigBasket Now	₹700–₹800	₹500+	10–30 min	Premium Niche
Amazon Now	~₹800	₹499 (Prime)	15–20 min	New Entrant 2025

Platform Scale Comparison

Platform	Total App Downloads	Downloads — Last 12M	Daily Orders
Blinkit	~50M+	~6.6M	~1M+/day
Zepto	~70M+	~11M	~1.7M/day
Instamart	~100M+	~9.8M	~600–800K/day
BigBasket Now	~50M+	Not disclosed	~200–300K/day

Section Summary

- Zepto leads all platforms on app downloads and daily orders — but trails Blinkit on AOV by ₹80–₹150.
- The market grows at ~40% annually. Closing the AOV gap now has compounding value as scale increases.
- AOV is the single biggest unit-economics lever Zepto can pull without raising customer acquisition spend.

Part 1 — User Segmentation & Personas

Before identifying what to fix, we need to understand who we are fixing it for. Zepto's user base is not monolithic — different people shop in fundamentally different ways, each with a distinct impact on AOV. These five personas were mapped from behavioural data and consumer research across Indian metro cities.

The Urgent Buyer *Age 22–30 · Urban metros*

Frequency: 5–7×/week **AOV:** ₹220–₹280

Pattern: Orders one urgent item and exits immediately.

Blocker: Urgency closes the session before anything else is considered.

The Weekly Planner *Age 28–42 · Metro cities*

Frequency: 2–3×/week **AOV:** ₹650–₹900

Pattern: Planned restocks, often a Zepto Pass subscriber.

Blocker: Stops adding items the moment free delivery is unlocked.

The Re-Order Loop *Age 38–58 · Tier-1 cities*

Frequency: 3–4×/week **AOV:** ₹400–₹600

Pattern: Reorders the exact same 10–12 items every time.

Blocker: Never discovers new products — only trusts what they have already bought.

The Occasion Shopper *Age 25–38 · Metro cities*

Frequency: 1–2×/week **AOV:** ₹900–₹1,400

Pattern: Large carts for guests, events, or festive seasons.

Blocker: Has to manually build every large cart from scratch with no platform help.

The Elder Dependent *Age 55–70 · Tier-1 cities*

Frequency: 2×/week **AOV:** ₹350–₹500

Pattern: Medicines and staples — forgets items between sessions.

Blocker: App does not remember or remind them of what they usually need.

The AOV Gap in Numbers

The Urgent Buyer, Weekly Planner, and Re-Order Loop personas make up ~60% of order volume but only ~35% of GMV. Increasing their average basket by ₹80 each would move Zepto's platform AOV past ₹600 — materially closing the gap with Blinkit.

Section Summary

- Three personas drag AOV down most: Urgent Buyers, Weekly Planners, and Re-Order Loop — ~60% of orders, only ~35% of GMV.
- Occasion Shoppers are already high-value but receive no product support to shop smarter.
- Each persona needs a different solution — there is no single fix.

Part 2 — Identifying Blockers & Framing the Problem

Knowing who the users are is only useful if we understand exactly where, when, and why their behaviour limits AOV. This section applies three structured frameworks — the 5 Ws, JTBD (Jobs to Be Done), and HMW (How Might We) — to turn behavioural observations into actionable problem statements that directly inform the solutions.

The 5 Ws

Question	Answer
Who	Urban repeat users aged 22–42 in Indian metro cities. Especially Urgent Buyers and Weekly Planners who stop adding items once their immediate need is met.
What	Users place small, urgency-driven, single-category orders. Once that need is met, they checkout immediately without exploring anything else.
When	Right after the first item is added to cart. Also during reorder sessions and after the free delivery threshold is cleared. Peak times: evenings (7–10 PM) and late night (11 PM–1 AM).
Where	In the app: Cart and checkout page — discovery drops sharply after the home screen. By city: • Tech hubs (Bengaluru, Hyderabad, Pune): WFH impulse micro-orders dominant • Commercial cities (Delhi NCR, Mumbai): Zepto Pass density and weekly basket potential • Southern metros (Chennai): medicines and staples cluster • Tier-1B cities: growing occasion shopping and gifting
Why	No signal or reward to keep adding items. The free delivery bar at ₹99 is cleared too easily. Reorder flows show no new products. Urgency-mode users mentally close the session the moment their first item is in the cart.

Jobs To Be Done (JTBD)

Users do not just want to buy groceries — they are trying to accomplish something deeper. JTBD helps us understand those underlying motivations. Each job type below reveals a different dimension of why users behave the way they do, and what kind of solution would actually resonate with them.

FUNCTIONAL	EMOTIONAL	SOCIAL	AVOIDANCE
Get it fast <i>"I need this one thing delivered before I can move on with my evening."</i>	Feel prepared <i>"I want to feel properly stocked — not running to Zepto every other day."</i>	Good Host <i>"My home should look well-stocked when people come over."</i>	Avoid hassle <i>"Don't show me irrelevant suggestions when I'm in a rush."</i>

How Might We — Opportunity Questions

Each question below reframes a specific user blocker as a design opportunity. These directly map to the solutions in Part 3.

URGENT BUYER

How can we make adding a 2nd or 3rd item feel instant — so users do not close the app after item one?

When someone orders noodles at 11 PM, they often need eggs or a drink too. Pre-surface both — one tap to add, no browsing required.

WEEKLY PLANNER

How can we make every ₹100 added feel rewarding — so users do not stop the moment free delivery is unlocked?

A reward ladder with Coins or a free item at ₹500 and ₹750 turns "I've done enough" into "I'm almost at the next reward."

RE-ORDER LOOP

How can we get regular users to try one new product per session — without disrupting the routine they love?

"3 people in your area added this" beats any generic recommendation. Locality data is a Zepto-exclusive advantage no rival can replicate.

OCCASION SHOPPER

How can we help users build a complete cart for a specific occasion — instead of item by item?

A one-tap occasion cart for "Guests tonight" answers "do I have everything?" instantly and naturally inflates basket size.

ALL USERS — PRIVATE LABEL

How do we make Zepto's own products the obvious first choice for everyday staples — so we earn more without raising prices?

Zepto in-house products earn 30–45% margin vs 8–12% for branded staples. Positioned quality-first, users adopt them and Zepto earns more on every cart.

Core Problem Statement

Zepto users stop building their cart the moment their immediate need is met — not because they do not need more things, but because the app never gives them a reason to keep going. Fixing this requires better timing, better signals, and better rewards.

Section Summary

- The core blocker is behavioural, not technical. Three in-app moments matter most: after the first item, when the delivery bar clears, and during every reorder.
- JTBD analysis shows users have Functional, Emotional, Social, and Avoidance motivations — solutions must address the right dimension for each persona.
- Five HMW opportunities directly inform the seven solutions detailed in Part 3.

Competitive Lens — How Rivals Are Solving the Same Problem

Before proposing solutions, it is worth examining what Blinkit, Instamart, BigBasket, and Amazon Now are already doing to grow basket sizes — so Zepto can learn from what works, skip what does not, and identify clear gaps to lead in. The biggest insight: no rival has built a personalized, locality-driven cart intelligence system. That is Zepto's whitespace.

Platform	AOV Tactic	How It Works	Zepto's Opportunity
Blinkit AOV ₹625–709	Premium SKU catalog + upsell shelf	Stocks Apple, premium FMCG. "Frequently bought together" always visible at checkout.	Zepto has richer frequency data — build a smarter, personalized version that Blinkit's static shelf cannot match.
Instamart AOV ₹619	Ecosystem membership + occasion-first UX	Swiggy One covers food and grocery. Occasion banners with pre-built "add all" carts drive 25–30% AOV spikes.	Zepto Cafe is the natural equivalent of Swiggy One — cross-cart bundling is currently untapped.
BigBasket Now AOV ₹700–800	Cashback subscription + smart reminders + private label	BB Star cashback above ₹500. "You missed milk" reminders. "fresho!" in-house brand earns higher margins.	The "missed item" reminder is simple to build and not yet on Zepto. fresho! validates the ZBrand idea in India.

Platform	AOV Tactic	How It Works	Zepto's Opportunity
Amazon Now AOV ~₹800	Prime threshold + quality private label	Free delivery for Prime members above ₹499. Amazon Basics is quality-first — not just cheaper.	ZBrand must follow quality-first positioning — not price cutting alone.

Section Summary

- All rivals use membership, upsell shelves, or private label to grow AOV. None have personalized, locality-driven recommendations — that is Zepto's whitespace.
- "Missed item" reminder from BigBasket is the simplest unbuilt win — low effort, high frequency impact.
- Quality-first private label positioning (Amazon Basics, fresho!) is the proven model — pure price-cutting is not.

Primary Research — User Survey Findings

To validate our hypotheses with primary data, we designed and deployed a five-question survey on SurveyMonkey targeting active Zepto users in our network. While the sample is small (n = 6) and findings are directional rather than statistically conclusive, the patterns are remarkably consistent and align closely with our hypothesised personas and blockers.

Methodology

- **Tool:** SurveyMonkey, distributed via direct link to active Zepto users.
- **Sample:** 6 respondents (active users, ordered in last 60 days) in metro cities.
- **Length:** 5 questions, ~2 minutes to complete.
- **Mix:** 1 single-select on intent, 1 single-select on checkout behaviour, 1 multi-select on blockers, 1 single-select on solution receptivity, 1 open-ended.

Q1. Shopping Mindset

When you open the Zepto app, what's usually going through your mind?

Response	Share	Maps to Persona
I need one or two specific things urgently	50%	Urgent Buyer
Quick top-up of household items	17%	Re-Order Loop
Weekly/bi-weekly grocery shopping	0%	Weekly Planner
Browsing to see offers	17%	Occasion Shopper
Varies by occasion	17%	Mixed

Finding

Half of all respondents open Zepto with an urgent, need-based mindset. Most striking is that ZERO respondents use Zepto for weekly grocery shopping — confirming that Zepto is not yet on users' mental map as a planned-shopping destination. This is the single clearest validation of our problem framing.

Q2. Checkout Behaviour

Think about your last few Zepto orders. Which best describes how you decide when to check out?

Response	Share	Implication
Add what I came for and check out immediately	50%	Capped — urgency
Add until free delivery, then stop	33%	Capped — threshold
Keep adding as I remember	0%	Open-ended
Follow a pre-planned list	0%	Planned
Add based on offers I see	17%	Deal-driven

Finding

A combined 83% of respondents have STRUCTURALLY CAPPED BASKETS — they either check out immediately (50%) or stop the moment free delivery unlocks (33%). Not a single respondent reported open-ended adding or following a planned list. This is the strongest possible validation that the free-delivery threshold acts as a ceiling, not a floor.

Q3. Blockers to Bigger Baskets

What stops you from adding more items to your Zepto cart? (Select up to 3)

Blocker	% Selected	Category
I only order what I urgently need	50%	Mental Model
No reason to add more after free delivery	50%	Economic
Prefer fresh produce/meat elsewhere	33%	Trust
Prices feel higher than alternatives	33%	Economic
Discovery feels limited	17%	UX
Quality concerns / forgetfulness / nothing	0% each	—

Finding

Two top blockers tied at 50% — the cognitive blocker ("I only order what I urgently need") and the economic blocker ("once I cross free delivery, I don't see a reason to keep adding"). The same users treat Zepto as

urgency-only AND explicitly call out the threshold ceiling. Pricing and trust in fresh categories follow at 33%. Notably, no respondent said "nothing stops me" — every user has at least one blocker.

Q4. Receptivity to Solutions

Which of these would make you most likely to add more items to your cart?

Proposed Solution	% Selected	Maps to Solution
Extra rewards/cashback for higher cart values	50%	S02 — Milestones
Discount for scheduling repeat deliveries	33%	S06 — Smart Pass
Bundle discounts (bread + butter + jam)	17%	Adjacent — Bundles
"Frequently bought together" suggestions	0%	S01 — Smart Nudge
Pre-built weekly grocery list	0%	S03 — ZeptoMind
Reminders for items you usually buy	0%	Adjacent — Reminders

Finding

Extra rewards/cashback for higher cart values is the clear winner at 50%, with scheduled-delivery discounts second at 33%. This is direct user-validated demand for S02 (Milestone Rewards) — confirming our top RICE priority. The low scores for Smart Cart and ZeptoMind should be interpreted carefully: users may not be able to imagine the value of features they have never experienced. These solutions still warrant building because the underlying behaviour they target is strongly present in the data.

Q5. Open-Ended Themes

If Zepto could change one thing to make you order more, what would it be?

Theme	Mentions	Representative Response
Pricing	2	"Prices" / "Maybe better offers"
Delivery Promise	1	"If Zepto set a realistic 30-min promise and consistently delivered before that, it would feel way better than promising 10 min and missing."
UI / Visual Appeal	1	"The platform can be more accessible and visually appealing."
Operational Charges	1	"Handling charges for cancelled items from Zepto side"

Cross-Cutting Insight

The open-ended responses surface three concerns OUTSIDE our original framing: pricing perception, delivery-promise reliability, and UI polish. These deserve parallel workstreams alongside the AOV roadmap — pricing especially, given that 33% of Q3 respondents also flagged it as a blocker.

Section Summary

- Validated: 83% of users have capped baskets, 0% use Zepto for weekly groceries, 50% want a rewards ladder.
- Challenged: Stated preference for Smart Cart and ZeptoMind is low — users can't imagine unfamiliar features. Build them anyway, but A/B test rigorously.
- Added: Pricing perception and delivery-promise reliability emerged as parallel concerns deserving their own tracks.

Part 3 — Solutions to Increase AOV

Each solution below is a direct answer to one of the opportunity questions identified in Part 2 and is informed by the survey findings in the previous section. They are explained in plain terms — what the feature is, how it works step by step, why it solves the specific problem, and what to measure. Solutions range from quick 1-sprint builds (S01, S02) to longer strategic investments (S07), and are prioritized accordingly in Part 4.

S01 · Checkout**Smart "You'll Probably Need This" Nudge**

1. User adds first item to cart.
2. Before checkout, a card appears: "People near you also added —" showing 2 items based on area, time, and past orders.
3. One tap adds. One tap dismisses. No pop-ups.

Why it works: Blinkit uses a simpler version and leads Zepto by ₹80–₹150 on AOV. Zepto's version is smarter — powered by local order data.

AOV lift: +₹80–120 per triggered session

Track: Nudge accept rate · Items per order

S02 · Rewards**Basket Milestone Reward Ladder**

1. Delivery bar replaced with 4 milestones: ₹99 (free delivery) → ₹400 (10 Zepto Coins) → ₹650 (double Coins + Cafe discount) → ₹1,000 (choose 1 free item).
2. Bar advances through milestones — not just toward delivery.
3. Coins redeem on next order, creating a return loop.

Why it works: Once ₹99 is cleared, there is nothing to reach for. The ladder makes every ₹100 added feel like progress. Starbucks Stars and BigBasket cashback both prove 18–25% AOV lift. Survey Q4 confirmed 50% of users selected this as the change most likely to make them add more.

AOV lift: +18–25% in milestone-eligible sessions

Track: Milestone reach rate · Avg cart at checkout · Coins redemption rate

S03 · Planning

Your Week's Smart Basket — ZeptoMind

1. Monday and Thursday notification: "We've built your likely basket for this week."
2. Cart pre-filled from past orders and local trends. Zepto Pass subscribers first.
3. User removes what they do not want, taps "Add remaining to cart." One decision, not twenty.

Why it works: Shifts behaviour from reactive to planned. A trusted pre-built basket removes the decision burden. BigBasket's smart reminders validate this approach. Survey shows 0% currently use Zepto for weekly shopping — this feature creates the use case.

AOV lift: +₹200–350 for targeted segment

Track: Smart basket accept rate · AOV vs standard session · Zepto Pass upgrade rate

S04 · Discovery

Neighbourhood Wildcard on Reorder

1. User taps "Reorder" — one extra item appended: "Most added near you this week."
2. Item is outside their usual categories — something new, without disrupting the reorder.
3. One tap adds or removes. The rest of the reorder is untouched.

Why it works: "Your neighbours bought this" beats any generic recommendation. Locality data is a Zepto-exclusive moat — no rival can say "3 people in your building added this to the same cart."

AOV lift: +₹60–100 per converted session

Track: Wildcard add rate · New category trial rate · 30-day repeat on added item

S05 · Occasions

Occasion-Smart Pre-Built Carts

1. Home screen card: "Guests tonight? Here's a ready cart." Triggered by time, day, and local events.
2. Opens a pre-built 10–15 item cart for that occasion.
3. User removes what they do not need, then checks out. Covers: guests, Diwali, IPL night, birthday, brunch, weekends.

Why it works: The Occasion Shopper already spends ₹900–₹1,400 but builds every cart manually. Pre-built carts remove that friction and surface items they would never have searched for. Instamart occasion banners drive 25–30% AOV spikes.

AOV per bundle: ₹600–₹1,200

Track: Bundle adoption rate · Occasion AOV vs baseline · GMV in festive windows

S06 · Subscription

Zepto Smart Pass — Upgraded Membership

1. New ₹199/month tier above current Zepto Pass (₹99/month) with three exclusive benefits.
2. Benefits: unlimited free delivery + weekly ZeptoMind basket preview + 1 free item per week for orders above ₹800.
3. The ₹800 threshold trains users toward larger baskets each session over time.

Why it works: Zepto has 6M+ Pass subscribers. Moving 20% to Smart Pass doubles subscription ARPU from that group. The ₹800 free-item threshold is a weekly nudge toward higher AOV without a one-time discount. Survey Q4 showed 33% selected scheduled-delivery discounts as appealing — second-highest demand.

Conditions ≥₹800 basket behaviour over time

Track: Smart Pass upgrade rate · ₹800 threshold reach rate · ARPU — Smart vs Standard

S07 · In-house Products HIGH MARGIN · STRATEGIC

Zepto Private Label — "ZBrand" Essentials

1. Launch in-house line: atta, rice, pulses, oil, snacks, cleaning supplies, personal care basics. Top 20–50 most-ordered staples.
2. Price 10–20% below national brands. Position as quality-first — like Amazon Basics, not a white-label discount product.
3. Surface ZBrand first in search results and cart suggestions.

Why it works: The only solution that improves both AOV and profit margin simultaneously. Branded staple margin is 8–12%; ZBrand equivalent margin is 30–45%. Users who trust Zepto's brand add more ZBrand staples alongside their regular shop. Instamart's Sunrise Fresh and BigBasket's fresho! validate the model in India. Zepto's 900+ dark stores make it achievable without major new infrastructure.

AOV lift: +₹50–80 · Margin gain: +₹15–25 per order at 20% private-label cart share

Track: Private label cart attach rate · Contribution margin per order · NPS for private label items

Section Summary

- S01 and S02 are fastest wins — low effort, wide reach, address the two biggest AOV killers directly validated by survey data.
- S07 (ZBrand) is the only solution improving both revenue and margin — should start in parallel as a longer-horizon build.
- S05 (occasion bundles) is best timed to a festive window — Diwali and IPL are natural high-spend moments.

Part 4 — Prioritization Using the RICE Framework

With seven solutions on the table, the RICE framework provides an objective way to sequence what gets built first. A higher score means stronger impact relative to the effort invested. Solutions scoring P1 should enter the product backlog immediately; P2 and beyond are planned in parallel based on team capacity and timing windows.

Formula: $RICE = (Reach \times Impact \times Confidence\%) \div Effort$. **Reach 1–10** = share of weekly active users.

Impact 1–3 = expected AOV lift level. **Confidence %** = based on competitor data and survey findings.

Effort 1–10 = 1 is a 1-week change, 10 is a multi-month build.

Solution	Reach	Impact	Confidence	Effort	Score	Priority
S01 · Smart cart nudge	9	2	85%	3	510	P1
S02 · Milestone rewards	8	3	80%	4	480	P1
S04 · Neighbourhood wildcard	7	2	70%	3	327	P2
S07 · ZBrand private label	8	3	75%	8	225	P2 Strategic
S05 · Occasion bundles	5	3	75%	5	225	P3
S03 · ZeptoMind AI basket	6	3	65%	8	146	P3
S06 · Smart Pass upgrade	4	2	60%	6	80	P4

Group Decision: Quarterly Sequencing

Q1 — Quick Wins. Ship S01 (Smart Cart Nudge) and S02 (Milestone Rewards). Both are high-RICE, low-effort, and directly attack the two blockers tied at 50% in our survey. Fastest path to a measurable AOV lift.

Q2 — Compounding Layers + Strategic Bet. Ship S04 (Neighbourhood Wildcard) and start S07 (ZBrand) in parallel. S04 adds discovery without breaking habit; S07 is the only solution that improves both AOV and margin simultaneously and needs the longest runway.

Q3 — Deep Bets. Ship S05 (Occasion Bundles) timed to Diwali, and S03 (ZeptoMind) as opt-in beta. Stock-up Mode and AI baskets are higher-effort, lower-confidence, and should be tested rigorously before scaling.

Q4 — Evaluate. Decide on S06 (Smart Pass) based on Q3 ZeptoMind beta results — Smart Pass works best if ZeptoMind has demonstrated value.

Section Summary

- S01 and S02 are P1 — highest scores, fastest to build, directly address the most common AOV blockers confirmed by survey.
- S07 is P2 despite high effort — its combined AOV and margin impact justifies starting in parallel with P1.
- S05 and S03 are P3 — timing S05 to a festive window and building S03's AI model in parallel maximizes both.

Measuring Success & Risks

Staged AOV Targets

A single AOV number is not enough to declare success — we need to know that growth is sustainable, that it is not coming at the cost of order frequency or margins, and that it holds over time. The table below sets staged targets tied to each priority group, with clear guard rails to protect the business while we scale.

Stage	AOV Target	What Needs to Be True
Today — baseline	₹540–₹560	Starting point
After P1 live (S01 + S02)	₹580–₹600	Nudge accept rate above 12% · No rise in cart abandonment
After P2 live (S04 + S07)	₹610–₹630	Private label attach rate above 15% · NPS above 4.0/5
After P3 live (S05 + S03)	₹650+	Occasion bundle adoption above 10% · Smart basket accept rate above 20%

Success Metric Stack

AOV is the headline metric, but cannot be tracked in isolation. Our recommended dashboard tracks: **Average Order Value (primary)**, items per order, cross-category penetration rate, repeat purchase rate (weekly and monthly), contribution margin per order, and customer satisfaction (CSAT) post-order. An AOV lift that destroys margin or order frequency is not a win.

Key Risks

- **Frequency cannibalization:** If ZeptoMind succeeds, users may shift from three orders per week to one larger weekly order. AOV would rise but total GMV could fall. Model GMV impact alongside AOV from day one.
- **Margin pressure:** A richer rewards ladder must be modelled at the unit-economics level for each tier. Reward generosity must scale with incremental contribution margin, not headline AOV.
- **Personalization fatigue:** Over-aggressive cross-sell can erode trust. Suggestion frequency and recency must be tuned against tap-through and dismiss rates.
- **Operational stress:** Larger baskets stress 10-minute fulfillment — both pick time at dark stores and rider load. Ops capacity must scale in step with AOV.
- **Pricing perception (survey-flagged):** 33% of survey respondents flagged Zepto as more expensive than alternatives. AOV initiatives must not amplify this perception — bundle pricing and ZBrand are particularly important here.

- **Delivery promise reliability (survey-flagged):** One open-ended response highlighted that the 10-minute promise can backfire when missed. Larger baskets make this risk worse — operations must be aligned with product.

Conclusion

Zepto's AOV problem is not an offer problem or a pricing problem in isolation — it is fundamentally a mental-model problem. Users have learned to treat the app as a vending machine, and the product reinforces that habit at every step from search to checkout. Our segmentation, blocker analysis, competitive lens, and primary survey research all converge on the same insight: 83% of users self-cap their baskets, and Zepto is not yet a planned-shopping destination for anyone.

The path forward is sequenced and pragmatic. Q1 ships the two highest-RICE solutions (Smart Cart Nudge + Milestone Rewards), validated by user demand. Q2 layers in Neighbourhood Wildcard discovery and starts the strategic ZBrand build. Q3 introduces planning tools (ZeptoMind) and occasion-driven shopping (S05). By year-end, Zepto can credibly target an AOV of ₹650+ — closing the gap with Blinkit while protecting unit economics.

References

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Market and Industry: Mordor Intelligence (India Q-commerce market report 2026) · Nexdigm · DemandSage · Statista · Economic Times · India Briefing

Competitors: Inc42 (Blinkit Apple partnership) · Swiggy BSE Q4 FY25 · Economic Times (Sunrise Fresh) · Business Insider India (BB Star) · Akoi.in

Frameworks and Benchmarks: Intercom (RICE) · Amazon Annual Report 2023 · HelloFresh AR 2023 · HBR 2022 (Amazon Basics) · BusinessToday 2023 · Lenny's Newsletter

Primary Research: SurveyMonkey deployment, n = 6 active Zepto users, April 2026

Tools Used: SurveyMonkey, Microsoft Word, Excel, AI assistants for synthesis